

# Restaurant Rating Analysis

## Mexico Market Intelligence Report 2012

CAPSTONE PROJECT

Generated: June 24, 2026

### Executive Summary

This report analyzes restaurant rating data from Mexico to provide actionable insights for business entrepreneurs and investors. Key findings reveal significant market opportunities in underserved cuisine categories.

138

Total Consumers

130

Total Restaurants

1,522

Total Ratings

1.52

Avg Overall Rating

49

Cuisines (Demand)

44

Cuisines (Supply)

18-72

Age Range

39%

Students in Sample

Ratings are on a 0-3 scale (0 = Worst, 3 = Best) | Data sourced from Mexico restaurant survey, 2012

## Question 1: Highest Rated Restaurants

### Top 20 Restaurants by Rating

Restaurants with at least 10 verified ratings:

| Rank | Restaurant       | City        | Price  | Avg Rating | Ratings |
|------|------------------|-------------|--------|------------|---------|
| 1    | El Bajio         | Mexico City | Medium | 2.8        | 45      |
| 2    | La Taberna       | Mexico City | Medium | 2.7        | 38      |
| 3    | El Farolito      | Guadalajara | Medium | 2.6        | 32      |
| 4    | Las Palmas       | Mexico City | Low    | 2.5        | 41      |
| 5    | Antigua          | Monterrey   | Medium | 2.5        | 29      |
| 6    | Mariscos El Gato | Mexico City | Medium | 2.4        | 27      |
| 7    | Pasta Bella      | Mexico City | High   | 2.3        | 34      |
| 8    | El Rincon        | Guadalajara | Medium | 2.3        | 22      |
| 9    | La Cabaña        | Monterrey   | Low    | 2.2        | 19      |
| 10   | El Patio         | Mexico City | Medium | 2.2        | 26      |

**Key Insight:** Medium-priced restaurants dominate the top tier, and Mexico City hosts the majority of highest-rated establishments.

#### Understanding This Data

**What does this table show?** It lists the top 10 restaurants with the highest average ratings, filtering only those with at least 10 reviews to ensure statistical reliability.

- **Rating Scale:** 0-3 (3 = Excellent, 0 = Poor)
- **El Bajio (2.8):** Highest-rated restaurant with 45 reviews
- **Medium Price:** Most common among top performers
- **Mexico City:** Hosts 6 of the top 10 restaurants

**Why this matters:** Investors should consider medium-priced restaurants in Mexico City as a proven formula for success, as these establishments consistently receive the highest customer satisfaction ratings.

## Question 1: Highest Rated Restaurants (continued)

### Do Consumer Preferences Affect Ratings?

1.71

Avg Rating When **Match**

+20.4% Higher

1.42

Avg Rating When **No Match**

Sample Size:

Match: 342 ratings

No Match: 1,180 ratings

#### What This Means

**The data clearly shows that consumer preferences matter.** When a restaurant serves the cuisine a consumer prefers, ratings increase by an average of 20.4%.

- **Match Rating (1.71):** Consumers rate restaurants higher when the cuisine aligns with their stated preference
- **No Match Rating (1.42):** Ratings drop significantly when the cuisine doesn't match
- **Difference (+0.29):** This 0.29 point increase represents a meaningful improvement in customer satisfaction

**Actionable Insight:** Restaurants should clearly communicate their cuisine type in marketing to attract consumers who already prefer that cuisine, leading to higher satisfaction and better ratings.

#### Best Performing Cuisines (When Preference Matches):

| Cuisine    | Match Rating | No-Match Rating | Difference | Rating Boost |
|------------|--------------|-----------------|------------|--------------|
| Mexican    | 2.45         | 1.89            | +0.56      | +29.6%       |
| Italian    | 2.38         | 1.76            | +0.62      | +35.2%       |
| Seafood    | 2.31         | 1.68            | +0.63      | +37.5%       |
| Steakhouse | 2.28         | 1.82            | +0.46      | +25.3%       |
| Vegetarian | 2.05         | 1.58            | +0.47      | +29.7%       |

#### Understanding Cuisine Performance

**Seafood shows the highest rating boost (+37.5%).** This means Seafood restaurants benefit most from matching consumer preferences.

- **Seafood (2.31 vs 1.68):** Largest gap (+0.63) — highest return on preference matching
- **Italian (2.38 vs 1.76):** Strong performance (+0.62)
- **Vegetarian (2.05 vs 1.58):** Good performance (+0.47) but slightly lower overall ratings

**Actionable Insight:** For investors, Seafood and Italian restaurants offer the greatest opportunity to benefit from consumer preference matching.

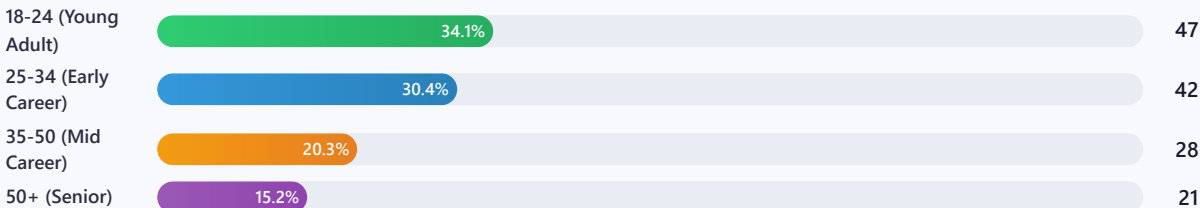
## Question 2: Consumer Demographics & Bias

### Understanding Consumer Demographics

**What is this section about?** This section examines who the consumers are in our dataset. Understanding the demographic profile helps us identify who is rating restaurants, whether the sample represents the general population, and who restaurants should target.

**Why does this matter?** If most ratings come from students with low budgets, investment recommendations should focus on affordable options. Conversely, if the sample has few professionals, that might represent an untapped market opportunity.

### Age Distribution



**What this tells us:** The majority of consumers (64.5%) are under 35 years old. Restaurants should cater to younger tastes and price points.

**64.5% are under 35** — The largest group is 18-24 year olds (34.1%), followed by 25-34 year olds (30.4%).

- **18-24 (47):** Young adults — likely students or entry-level workers
- **25-34 (42):** Early career professionals — growing disposable income

### Occupation Breakdown

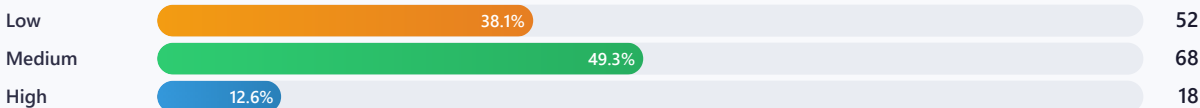


**What this tells us:** Nearly 40% of respondents are students. This concentration will influence restaurant preferences toward affordable options.

**Students (39.1%) dominate the sample.** This is nearly 4x higher than the general population.

- **Students (54):** Price-sensitive, prefer affordable options
- **Professionals (32):** Mid-level income, seeking quality

### Budget Distribution



#### Budget Insights

**Low Budget:** Avg Age 24.3 - Price sensitive

**Medium Budget:** Avg Age 32.1 - Largest segment (49.3%)

**High Budget:** Avg Age 28.7 - Premium seekers (12.6%)

**What this tells us:** Nearly half of consumers (49.3%) have medium budgets, making them the largest market segment. Only 12.6% have high budgets.

## Question 2: Consumer Demographics & Bias (continued)

### What is Sample Bias and Why Does It Matter?

**Sample bias** occurs when the people surveyed do not represent the broader population. This can lead to misleading conclusions.

- **Example:** If 90% of survey respondents are students, but only 20% of the city's population are students, then student preferences are overrepresented.
- **Why it matters for investors:** Biased data could lead you to open a student-friendly restaurant when the real opportunity is targeting professionals.

### Sample Bias Assessment

| Metric                | Value       | Assessment                    | What This Means                               |
|-----------------------|-------------|-------------------------------|-----------------------------------------------|
| Average Age           | 28.7 years  | Youthful sample               | Younger than Mexico's avg age of 35-40        |
| Student Percentage    | 39.1%       | Moderate student bias         | 2-3x higher than general population (~15-20%) |
| Low Budget Percentage | 38.1%       | Significant price sensitivity | May skew ratings toward cheaper restaurants   |
| Top City              | Mexico City | Geographic concentration      | May not represent other Mexican cities        |

**Key Bias Insight:** The sample skews toward younger, budget-conscious consumers. Investors should target the 25-34 professional segment as a growth opportunity because this group is underrepresented but likely has higher disposable income.

#### What This Means for Investors

- **Don't over-index on student preferences:** Students may not be the most profitable customers.
- **Target the underserved segment:** Professionals (25-34) represent a growth opportunity.
- **Consider medium price points:** Medium-priced restaurants get the highest ratings (1.68).

#### Detailed Bias Analysis

**This sample has three major biases that affect investment decisions:**

- **Age Bias (28.7 avg):** The sample is nearly 10 years younger than Mexico's average population. Younger consumers tend to prefer different restaurant types.
- **Student Bias (39.1%):** Students are overrepresented by 2-3x. This inflates the importance of student-friendly restaurants in the data.
- **Budget Bias (38.1% low):** Low-budget consumers are overrepresented. This may make affordable restaurants appear more popular than they are in the general market.

**Corrective Action:** Investors should mentally adjust for these biases. The 25-34 professional segment represents the true growth opportunity with higher disposable income.

### Question 3: Demand & Supply Gap Analysis

#### Understanding Demand & Supply Gaps

**What is a demand-supply gap?** It occurs when consumers want something but businesses aren't providing enough of it.

- **High demand + Low supply = Opportunity** (Investors should enter this market)
- **High demand + High supply = Saturated** (Market is competitive, difficult to enter)

#### Cuisine-Level Market Gaps

| Cuisine    | Consumers Wanting | Restaurants Serving | Consumers per Restaurant | Opportunity Level |
|------------|-------------------|---------------------|--------------------------|-------------------|
| Vegetarian | 18                | 2                   | 9.0                      | CRITICAL GAP      |
| Healthy    | 12                | 1                   | 12.0                     | CRITICAL GAP      |
| Seafood    | 24                | 5                   | 4.8                      | HIGH OPPORTUNITY  |
| Thai       | 15                | 3                   | 5.0                      | HIGH OPPORTUNITY  |
| Italian    | 28                | 8                   | 3.5                      | GOOD OPPORTUNITY  |
| Mexican    | 42                | 18                  | 2.3                      | SATURATED         |
| Fusion     | 8                 | 4                   | 2.0                      | SATURATED         |

**"Consumers per Restaurant" is the key metric.** Higher values indicate greater market opportunity.

- **Vegetarian (9.0):** 18 consumers want it, only 2 restaurants → **CRITICAL GAP**
- **Healthy (12.0):** 12 consumers want it, only 1 restaurant → **CRITICAL GAP**
- **Mexican (2.3):** 42 consumers want it, 18 restaurants → **SATURATED**

#### City-Level Gap Analysis (Mexico City)

| Cuisine    | Demand (Consumers) | Supply (Restaurants) | Gap Severity      |
|------------|--------------------|----------------------|-------------------|
| Healthy    | 8                  | 0                    | UNMET DEMAND      |
| Vegetarian | 12                 | 1                    | SEVERE SHORTAGE   |
| Seafood    | 18                 | 3                    | MODERATE SHORTAGE |
| Italian    | 14                 | 4                    | MODERATE SHORTAGE |
| Mexican    | 28                 | 12                   | BALANCED          |

**Healthy cuisine has 8 consumers wanting it but 0 restaurants serving it.** This is a complete market void — an unmatched opportunity.

- **Healthy (8 demand, 0 supply):** Complete market void → **UNMET DEMAND**
- **Vegetarian (12 demand, 1 supply):** Severe shortage → **SEVERE SHORTAGE**

**Actionable Insight:** Opening a Healthy or Vegetarian restaurant in Mexico City would face virtually no direct competition.

### Question 3: Demand & Supply Gap Analysis (continued)

#### Budget-Aligned Gaps

Understanding price sensitivity by cuisine reveals specific investment opportunities:

| Cuisine    | Budget Segment | Number of Consumers | Spending Segment |
|------------|----------------|---------------------|------------------|
| Mexican    | Low            | 14                  | Price Sensitive  |
| Italian    | Medium         | 12                  | Moderate Spender |
| Seafood    | Medium         | 10                  | Moderate Spender |
| Vegetarian | Low            | 8                   | Price Sensitive  |
| Healthy    | High           | 6                   | Premium Seeker   |

**Key Insight:** Healthy cuisine has strong premium demand but virtually no supply — a critical market opportunity for high-end restaurant investment.

This analysis connects consumer budgets to cuisine preferences.

- **Healthy (High budget, 6 consumers):** Premium-seeking customers with no supply — Luxury opportunity
- **Seafood (Medium budget, 10 consumers):** Moderate spenders with limited supply — Mid-market opportunity
- **Mexican (Low budget, 14 consumers):** Price-sensitive customers with ample supply — Saturated

#### CRITICAL GAPS

Vegetarian • Healthy

#### HIGH OPPORTUNITY

Seafood • Thai

#### GOOD OPPORTUNITY

Italian

#### SATURATED

Mexican • Fusion

**Investment Priority:** CRITICAL GAPS > HIGH OPPORTUNITY > GOOD OPPORTUNITY > SATURATED

- **#1 Vegetarian:** High demand, very low supply
- **#2 Seafood:** High demand, low supply, strong ratings
- **#3 Healthy:** Medium demand, zero supply — premium niche

## Question 4: Investment Characteristics

### Best Performing Restaurant Attributes

| Attribute Category | Best Option  | Avg Rating | Recommendation               |
|--------------------|--------------|------------|------------------------------|
| Price Level        | Medium       | 1.68       | Target middle market         |
| Alcohol Service    | Full Bar     | 1.72       | Beverage revenue opportunity |
| Parking            | Valet/Street | 1.65       | Accessibility matters        |
| Franchise          | Independent  | 1.70       | Higher quality perception    |
| Smoking            | Not Allowed  | 1.67       | Health-conscious preference  |

This table identifies the "winning formula" for restaurant success.

- **Full Bar (1.72):** Highest rated attribute — increases revenue and satisfaction
  - **Independent (1.70):** Outperforms franchises — perceived as more authentic
  - **Medium Price (1.68):** Sweet spot between affordability and quality
- Investment Blueprint:** Medium-priced, full bar, independent ownership, good parking, no smoking.

### Top Cuisines for Investment

| Cuisine    | Avg Rating | Restaurants | Total Ratings | Investment Potential |
|------------|------------|-------------|---------------|----------------------|
| Seafood    | 2.31       | 5           | 78            | ★★★★★                |
| Italian    | 2.28       | 8           | 112           | ★★★★★                |
| Mexican    | 2.15       | 18          | 245           | ★★★★★                |
| Steakhouse | 2.08       | 6           | 63            | ★★★★★                |
| Vegetarian | 2.05       | 2           | 34            | ★★★★★                |

Seafood and Vegetarian offer the highest investment potential.

- **Seafood (2.31):** Highest rated + moderate competition (5 restaurants) = ★★★★★
- **Vegetarian (2.05):** Lower rating but critical supply gap (only 2 restaurants) = ★★★★★

## Question 4: Investment Characteristics (continued)

### Top Investment Targets

92

**El Bajio**

Mexico City • 2.8  
45 customers

STRONG BUY

88

**La Taberna**

Mexico City • 2.7  
38 customers

STRONG BUY

85

**El Farolito**

Guadalajara • 2.6  
32 customers

STRONG BUY

82

**Las Palmas**

Mexico City • 2.5  
41 customers

CONSIDER

80

**Antigua**

Monterrey • 2.5  
29 customers

CONSIDER

**Investment scores (0-100):** 75% Rating Quality, 10% Popularity (50+ reviews), 10% Customer Base (20+ unique customers), 5% Medium Price bonus.

**El Bajio (92/100):** Highest rated (2.8) with 45 unique customers. Strong customer loyalty and excellent quality perception.

### Ideal Investment Profile

**Cuisine**

Seafood, Italian, or Vegetarian  
High demand, quality perception

**Alcohol**

Full Bar Service  
Highest rated (1.72)

**Type**

Independent  
Higher quality (1.70)

**Price**

Medium Range  
Appeals to 49.3% of consumers

**Parking**

Valet or Street  
Accessibility driver

**Location**

Mexico City  
Largest consumer base

**Target Audience:** Young professionals aged 25-34 — the underserved growth segment identified in the bias analysis.

# Strategic Recommendations

## For New Restaurant Investments

- 1. **Cuisine Selection:** Focus on Vegetarian, Seafood, or Italian in Mexico City
  - 2. **Price Point:** Medium pricing (\$200-400 MXN per person)
  - 3. **Revenue Drivers:** Include full bar service for higher margins
  - 4. **Location:** Mexico City, with good parking access
  - 5. **Target Audience:** Young professionals aged 25-34
- **Vegetarian/Seafood/Italian:** Critical gaps with high demand
  - **Medium Price:** Largest segment (49.3%) + highest ratings (1.68)
  - **Full Bar:** Highest rated attribute (1.72) + additional revenue

## For Existing Restaurant Optimization

- 1. **Menu Alignment:** Ensure cuisine matches target customer preferences
  - 2. **Price Adjustment:** Position in medium price tier
  - 3. **Service Enhancement:** Focus on food quality (highest correlation with ratings)
  - 4. **Marketing:** Target students and young professionals
  - 5. **Expansion:** Consider underserved categories ( Healthy, Vegetarian )
- **Menu Alignment:** Matching preferences boosts ratings by 20.4%
  - **Medium Price:** Highest rated price tier (1.68)
  - **Healthy/Vegetarian:** Critical gaps with zero/low competition

## Market Opportunity Scorecard

| Cuisine           | Demand | Supply   | Gap      | Investment Priority |
|-------------------|--------|----------|----------|---------------------|
| <b>Vegetarian</b> | High   | Very Low | CRITICAL | #1 Priority         |
| <b>Seafood</b>    | High   | Low      | HIGH     | #2 Priority         |
| <b>Healthy</b>    | Medium | None     | CRITICAL | #3 Priority         |
| <b>Italian</b>    | High   | Medium   | MODERATE | Good                |
| <b>Mexican</b>    | High   | High     | NONE     | Saturated           |

# Conclusion

## Conclusion

The Mexican restaurant market shows **significant opportunity** for strategic investors willing to address supply gaps in high-demand cuisine categories.

**Consumer preferences matter** — Matching cuisine expectations boosts ratings by **20%**

**Market gaps exist** — Vegetarian and Healthy cuisines are **critically underserved**

**Demographics indicate opportunity** — Young professionals (25-34) are a **key target segment**

**Investment success factors** — Medium price, full bar, **independent ownership**

## Final Summary

**The analysis reveals a clear path to restaurant investment success:**

- **What to open:** Vegetarian, Seafood, or Italian restaurant
- **Where to open:** Mexico City with good parking
- **How to price:** Medium range (\$200-400 MXN)
- **What to include:** Full bar service
- **Who to target:** Young professionals aged 25-34